25900346 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSEECO202 - LIFE INSURANCE

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple choice questions

Answer all questions

Each question carries **1** marks

1. Non-life insurance is also known as [U] / [CO2]

   a). Term insurance b). General insurance

   c). Endowment insurance d). Pension insurance

2. Which of the following is a government social insurance scheme? [U] / [CO1]

   a). PMJJBY b). EPFO

   c). LIC Mutual Fund d). SBI Health Plan

3. According to the principles of an Individual Pension Scheme (IPS), what is a key characteristic regarding participation? [Ap] / [CO2]

   a). It is mandatory for all salaried employees b). It is fully funded by the employer

   c). It is a personal and voluntary savings plan d). It offers no tax benefits

4. The purpose of claim form is to: [Ap] / [CO2]

a). Apply for a new policy

b). Make a request to the insurance company for the payment of benefits

c). Add a new nominee

d). Increase the policy term period

5. What is the main goal of life insurance underwriting? [U] / [CO1]

a). To sell more policies

b). To assess the risk and fix premium

c). To reduce agent commission

d). To speed up claims

6. Who can be appointed as a nominee in a life insurance policy? [Ap] / [CO2]

a). Only family members

b). Only blood relatives

c). Any person choosen by the policyholder

d). Only the insurance agent

7. The "Incontestability Clause" in a policy document typically states that after the policy has been in force for a certain period (e.g., 2 years), the company cannot void the policy for a misstatement, except in cases of what? [U] / [CO2]

a). Non-payment of premium b). Fraud

c). Engaging in illegal activities d). War

8. Which document is the main contract between the policyholder and the insurance company? [Ap] / [CO2]

a). Premium receipt

b). Proposal form

c). Policy document

d). Medical report

9. What is a key feature of Group Insurance that makes it cheaper than individual policies? [U] / [CO1]

a). Higher sum assured b). Simplified underwriting

c). Longer policy term d). Guaranteed bonuses

10. Which of the following statements is true? [U] / [CO2]

a). Agents represent the customer; brokers represent the insurer

b). Agents and brokers have the same role

c). Agents represent the insurer; brokers represent the customer

d). Brokers work under agents

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11.	What is motor insurance and why is it important?	[U] / [CO2]
12.	Describe the evolution of life insurance during the colonial period in India.	[U] / [CO2]
13.	What were the effects of liberalization on the Indian insurance industry?	[U] / [CO2]
14.	What were the main recommendations of the Malhotra Committee (1993)?	[U] / [CO2]
15.	What is principle of indemnity? Explain its main purpose.	[U] / [CO1]
16.	Explain the factors insurance companies consider before approving motor vehicle insurance?	[U] / [CO1]
17.	Why fair distribution of surplus important?	[Ap] / [CO2]
18.	In 'Proportional Reinsurance', how are premiums and losses shared between the insurer and reinsurer?	[Ap] / [CO2]
19.	Explain loan facility available to policyholders	[Ap] / [CO2]
20.	What is the triggering event for a Maturity Claim and who can make the claim?	[U] / [CO1]
21.	What is the first step a family must take when a person covered by a life insurance policy goes missing?	[U] / [CO1]
22.	What two factors are used to categorise risks in the 2x2 Risk Management Matrix?	[Ap] / [CO2]
23.	Under which section of the Income Tax Act are premiums paid for a life insurance policy generally eligible for deduction?	[A] / [CO3]
24.	What are the documents required for a death claim in life insurance?	[U] / [CO1]
25.	What happens if an agent acts outside their authority?	[U] / [CO4]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

26.	Explain the structure and composition of the Insurance Regulatory and Development Authority of India (IRDAI).	[U] / [CO2]
27.	Discuss the role and importance of the Life Insurance Corporation of India (LIC).	[U] / [CO2]
28.	Explain how age and health influencing life insurance.	[U] / [CO1]
29.	LIC's Jeevan Akshay VI and New Jeevan Shanti are both pension plans. Explain the key difference in when you start receiving the pension from each?	[U] / [CO1]
30.	What is a Provident Fund (PF) and how does it work?	[A] / [CO3]
31.	How does a ULIP work? Where does your money go when you pay the premium?	[A] / [CO3]
32.	Describe the different types of individual life insurance policies.	[U] / [CO2]
33.	What is an Endowment Plan and how is it different from a Term Plan?	[A] / [CO3]
34.	Explain the principle of utmost good faith.	[U] / [CO1]
35.	Describe the unique features of insurance marketing.	[U] / [CO2]

[6x5 = 30]